

FABULOUS – ANNUAL REPORT 2022

Year Ended: December 31, 2022

INCOME STATEMENT (2022)

Revenue: \$31,600,000
Cost of Goods Sold: \$18,700,000
Gross Profit: \$12,900,000
Operating Expenses: \$8,900,000
Operating Income: \$4,000,000
Interest Expense: \$250,000
Net Income: \$3,750,000

BALANCE SHEET (2022)

Assets

Cash and Cash Equivalents: \$4,900,000
Accounts Receivable: \$1,500,000
Inventory: \$3,400,000
Prepaid Expenses: \$400,000
Total Current Assets: \$10,200,000
Technology and Platform Assets: \$5,800,000
Other Long-Term Assets: \$1,100,000
Total Assets: \$17,100,000

Liabilities

Accounts Payable: \$2,300,000
Accrued Expenses: \$1,200,000
Short-Term Loans: \$700,000
Total Current Liabilities: \$4,200,000
Long-Term Loans: \$3,100,000
Total Liabilities: \$7,300,000

Equity

Common Stock: \$3,000,000
Retained Earnings: \$6,800,000
Total Equity: \$9,800,000

CASH FLOW STATEMENT (2022)

Net Income: \$3,750,000
Depreciation and Amortization: \$1,100,000
Changes in Working Capital: (\$900,000)
Cash Flow from Operations: \$3,950,000
Cash Flow from Investing: (\$2,900,000)
Cash Flow from Financing: (\$1,550,000)
Net Change in Cash: (\$500,000)
Beginning Cash Balance: \$5,400,000
Ending Cash Balance: \$4,900,000

EXECUTIVE SUMMARY – 2022

2022 marked a year of accelerated growth and platform expansion for Fabulous. Revenue increased to \$31.6 million, supported by strong performance in home décor, wellness products, and exclusive online-only collections.

The company launched a new subscription program, “Fabulous Prime,” offering free shipping, early access to product drops, and exclusive member-only deals. This program reached 85,000 subscribers within its first six months.

Fabulous also invested in automation within its fulfillment network, reducing order processing times by 18% and improving delivery reliability. The company expanded its data analytics capabilities, enabling more personalized customer experiences and higher conversion rates.

Customer engagement continued to rise, with 780,000 active customers and a 32% increase in repeat purchases.

Leadership

CEO: Melissa Hart

CFO: Jonathan Pierce

COO: Elena Ramirez

CTO: David Kim

OVERALL ASSESSMENT

Across 2021 and 2022, Fabulous demonstrated strong revenue growth, improved operational efficiency, and increasing customer loyalty. As a mid-size internet-only retailer, the company enters 2023 with a scalable technology platform, a growing customer base, and a solid financial foundation for continued expansion.